Please write clearly in block capitals.

Centre number		**Candidate number**	

Surname

Forename(s)

Candidate signature

A-level

ECONOMICS

Paper 1 Markets and market failure

Predicted Paper Set C — Advanced

Diagram and graph focus

Time allowed: 2 hours

Materials

- an AQA 12-page answer book
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/1.
- Answer ALL questions in both Section A and Section B.
- Diagrams should be drawn in pencil and fully labelled.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 40 marks for Section A and 40 marks for Section B.
- You will be marked on your ability to:
  - use good English
  - organise information clearly
  - use specialist vocabulary where appropriate.

Advice

- You are advised to spend 1 hour on Section A and 1 hour on Section B.

Predicted Paper — For revision purposes only [Set C — Advanced]

Section A

Answer ALL questions in this section.

Total for this section: 40 marks

Data Response: The UK Energy Price Cap and the Household Energy Market

Study Extracts A, B and C and then answer all parts of Section A which follow.

Extract A: UK Energy Price Cap and the Household Energy Market

Following the 2022 wholesale gas price spike, the UK government introduced the Energy Price Guarantee, capping the average dual-fuel household bill at £2,500. From 2024 the cap is reset quarterly by Ofgem and fell to £1,568. Critics argue the cap dampens price signals to invest in efficiency; supporters say it shielded vulnerable households at a critical moment. Renewables generated 47% of UK electricity in 2024, up from 37% in 2019, but gas remains essential for baseload supply.

Source: News reports, July 2024

Extract B: UK Energy Market Data, 2019–2024

Year	Average annual bill (£)	Wholesale gas (p/therm)	Renewables share (%)	Fuel poverty (% of households)
2019	1,254	40	37	10.3
2021	1,138	55	40	13.2
2022	2,500 (capped)	200	42	19.8
2024	1,568 (capped)	68	47	14.5

Source: Ofgem / BEIS / Department for Energy Security & Net Zero, 2024

Extract C: Further Commentary

Ofgem estimates that the price cap created an effective shortage at the peak of the crisis: at the capped price, quantity demanded exceeded the quantity suppliers were willing to supply at unsubsidised cost, requiring £40bn of taxpayer support to retailers. Income-based studies show the lowest decile spent 11% of disposable income on energy in 2022 versus 4% for the top decile.

Source: Ofgem / Resolution Foundation, 2024

0 1 Using Extract B, calculate the change in the proportion of households in fuel poverty between 2019 and 2024. Show your working and state whether the change represents an increase or a decrease.

[2 marks]

0 2 Using a fully labelled supply and demand diagram, explain how a maximum price (price ceiling) set below the free-market equilibrium creates excess demand in the household energy market. Your answer must include both a labelled diagram AND a written explanation of the economic mechanism.

[4 marks]

0 3 Using the extracts and your knowledge of economics, analyse two reasons why the energy price cap may correct or worsen market failure.

[9 marks]

0 4 Using the extracts and your own knowledge, evaluate the view that maximum prices are the most effective way to protect consumers in essential markets such as energy.

[25 marks]

Section B

Answer BOTH questions in this section.

Each essay carries a total of 40 marks.

Total for this section: 40 marks

Governments frequently intervene in markets using price controls such as maximum and minimum prices, and through subsidies intended to correct market failure or protect consumers. However, such interventions can themselves produce distortions of their own — the phenomenon known as government failure.

0 5 Explain, using a fully labelled diagram, how a per-unit subsidy to renewable electricity producers affects equilibrium price and quantity.

[15 marks]

0 6 "Government failure is often worse than the market failure it tries to correct." Evaluate this statement with reference to UK price controls or subsidies.

[25 marks]

END OF QUESTIONS